17. INCOME TAXES

The tax effect of significant temporary differences representing deferred tax assets is as follows:

	December 31, 2001	December 31, 2000
Deferred tax assets:		
Operating loss carry-forwards	5,781,996	2,822,000
Valuation allowance	(5,780,000)	(2,822,000)
Deferred tax assets	1,996	0

The Company has determined that realization is not more than likely and therefore a valuation allowance has been recorded against this deferred income tax asset.

The Company's statutory and effective tax rate is 34%.

The Company has certain non-capital losses of $17,000,000 available, which can be applied against future taxable income and which expire between 2007 and 2021.